

POL-001

Retail Mortgage Credit & Affordability Policy

Retail Banking | KBC Bank NV

Policy ID	POL-001
Version	v3.2
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Next Review	01 March 2026
Status	Active
Policy Owner	Head of Retail Lending
Applies To	Retail Banking KBC Bank NV
Classification	INTERNAL — All KBC Group Employees

About this policy: This policy explains KBC's commitment to responsible mortgage lending — how we assess affordability, apply stress tests, govern AI tools, and ensure customers make informed decisions about one of the biggest financial commitments of their lives.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction — What This Policy Is About

At KBC, we believe that a mortgage is one of the most significant financial commitments a person will ever make. That commitment deserves to be made with full information, careful assessment, and the confidence that KBC has genuinely considered whether the product is right for the customer's life. This policy sets out how we do that — consistently, fairly, and in a way every employee can understand and apply.

This is not a technical manual. It is a statement of how KBC expects its people to behave when helping customers take on mortgage debt. Whether you are a branch adviser, a digital product manager, a credit analyst, or a member of the KATE AI team, the principles in this policy apply to you.

2. Who This Policy Applies To

This policy applies to every KBC employee who plays any part in the mortgage journey — from first customer contact through to loan origination, underwriting, ongoing servicing, and account closure. It also applies to third-party brokers and intermediaries who distribute KBC mortgage products. If you are unsure whether it applies to your role, assume it does and ask your manager.

3. Our Commitment to Responsible Lending

KBC is committed to lending responsibly. This means we only offer mortgages to customers when we have genuinely assessed that they can afford the repayments — not just today, but over the life of the loan and through periods of financial stress. We do not exist to maximise the number of mortgages we write. We exist to help customers build financial security in a sustainable way.

Responsible lending at KBC means three things in practice:

- **We look at the whole picture.** We do not make lending decisions based on a single data point. We look at a customer's income, their existing financial commitments, their likely future circumstances, and whether the product genuinely fits their needs.
- **We are honest with customers.** If a customer cannot afford a product, we tell them clearly and helpfully, and we explain what their options are. We never push a customer toward a product that is not right for them.
- **We protect customers from over-indebtedness.** Taking on more debt than you can manage is a source of real hardship. KBC's job is to prevent that, not to enable it.

4. How We Assess Whether a Customer Can Afford a Mortgage

4.1 Verifying Income

Before offering any mortgage, we must verify the customer's income from reliable, independent sources. Payslips, tax returns, and bank statements are the primary tools. For self-employed customers, we look at two years of audited accounts to understand their average earnings. We do not take the customer's word alone — verification is a protection for both the customer and KBC.

When income includes variable elements like bonuses or overtime, we take a conservative view and only count a portion of those earnings. This guards against customers over-extending based on exceptional income that may not continue.

4.2 The Debt-Service-to-Income Ratio

The debt-service-to-income (DSTI) ratio is the proportion of a customer's monthly take-home income that goes toward servicing all debt — including the new mortgage. KBC applies a maximum DSTI of 35% for standard applications. This means that after paying all debts, the customer retains at least 65% of their monthly income for living costs.

Applications where the DSTI falls between 35% and 40% are not automatically declined, but they require a higher level of scrutiny. These cases are reviewed by the credit committee, who look for compensating factors: a large deposit, a clean credit history, or demonstrably stable employment. The credit committee's role is not to find reasons to say yes — it is to ensure we have genuinely weighed the risks.

4.3 Loan-to-Value Limits

The loan-to-value (LTV) ratio is the size of the mortgage as a proportion of the property's value. KBC's standard LTV maximum is 80%, meaning we typically require a deposit of at least 20%. First-time buyers may borrow up to 90% with appropriate mortgage protection insurance. Buy-to-let investors are held to a maximum of 70%, reflecting the additional risk in investment property lending.

5. Stress Testing — Planning for Higher Interest Rates

Interest rates change over time. A mortgage that is affordable today at a low interest rate could become very difficult to manage if rates rise significantly. KBC's stress testing requirement exists to protect customers from this risk before they commit.

For all new variable-rate mortgages, we must assess whether the customer could still afford the monthly repayments if the interest rate were 3 percentage points higher than the current rate. This is not a hypothetical academic exercise — it reflects the kind of rate movement that has occurred in real markets in recent years.

If a customer's finances would be under serious strain under that stress scenario, we must either decline the application or ensure the customer has the reserves and financial resilience to manage. We never allow a customer to proceed with a variable-rate mortgage on the implicit assumption that rates will not rise.

Why this matters

Imagine a customer taking a variable-rate mortgage at 3.5% interest. Our stress test asks: could they manage repayments at 6.5%? If the answer is yes, we can lend with confidence. If the answer is no, we need to have a frank conversation with the customer about their options — a fixed-rate product, a smaller loan, or building a larger deposit first.

6. How Our AI Tools Support Mortgage Decisions

KBC uses AI-powered tools, including features within the KATE digital assistant, to support mortgage affordability assessments and product recommendations. These tools are designed to help our people do their jobs better — they are not a replacement for human judgment.

AI tools at KBC are held to the same standard as any other part of our mortgage process. They must be fair, consistent, and explainable. They must not produce biased outputs that disadvantage customers on the basis of gender, age, nationality, or postcode. They are regularly tested and monitored. If an AI tool generates a

recommendation, the customer has the right to ask for an explanation in plain language.

Employees must never override their own judgment simply because an AI tool has produced a particular output. The AI is an input to your decision, not the decision-maker. If you believe an AI tool is producing outputs that seem unfair or inconsistent, you have a responsibility to raise this with your manager or the Compliance team.

7. What Customers Are Entitled to Know

Transparency is central to KBC's relationship with its customers. In the mortgage process, this means customers must always receive clear, plain-language information about the total cost of the mortgage, the APR, the assumptions underlying any stress test, and — where AI tools have played a role — the key factors considered. Customers always have the right to request a human review. We never obscure information or present it in a way designed to prevent customers from making informed comparisons.

8. When to Ask for Help

Not every mortgage situation is straightforward. If you encounter any of the following, escalate to your line manager or Compliance Advisory rather than making the decision yourself:

- A customer whose income is difficult to verify or whose circumstances are unusual.
- A case where the DSTI exceeds 35% and you are not certain the compensating factors are sufficient.
- A customer who appears to be in financial difficulty or who has disclosed vulnerability.
- A case where an AI tool has produced an outcome that seems wrong.
- Any situation where you feel pressure — from any source — to approve a mortgage you would not otherwise approve.

Escalation is not a sign of weakness. It is a sign of professional integrity.

9. Your Responsibilities

- Always verify income from reliable sources. Do not accept undocumented claims.
- Always apply DSTI and LTV limits as set out in this policy.
- Always complete stress testing for variable-rate applications.
- Never advise a customer to take a product you do not believe is right for them.
- Always document your decisions clearly.
- If you use AI tools, understand what they are telling you and retain your own judgment.

10. Consequences of Non-Compliance

Failing to follow this policy can cause real harm to customers and significant reputational and financial damage to KBC. Employees who breach this policy may face disciplinary action up to and including dismissal. In serious cases, KBC may be required to report the matter to external authorities. If you make a mistake, acknowledge it and escalate promptly — concealment turns a mistake into a serious compliance issue.

11. Getting Help

- **Your line manager** — for day-to-day guidance.
- **KBC Compliance Advisory** — for policy interpretation.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

12. Policy Review

This policy is reviewed annually. The current version is always available on the KBC intranet.

POL-002

ICT Risk Management & Cyber Security Policy

Digital Banking & Payments | Group Functions

Policy ID	POL-002
Version	v2.5
Effective Date	18 October 2024
Next Review	18 October 2025
Status	Active
Policy Owner	Group CIO / Group CRO
Applies To	Digital Banking & Payments Group Functions
Classification	INTERNAL — All KBC Group Employees

About this policy: This policy explains KBC's approach to keeping our digital platforms, customer data, and AI systems secure — and what every employee must do to be part of our cyber defence.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

KBC is a digital-first bank. Our customers manage their money through KBC Mobile, interact with KATE, and trust us to keep their financial lives secure. That trust is only possible because every employee takes cyber security seriously. This policy sets out what that means in practice.

Cyber threats are real, constantly evolving, and can cause serious harm — to our customers, to KBC, and to the wider financial system. A single successful attack could compromise millions of customer accounts, disrupt payment services, or expose sensitive personal data. This policy exists to make sure we are a hard target.

2. Who This Policy Applies To

This policy applies to every KBC Group employee, contractor, and temporary staff member who uses KBC systems, handles KBC data, or interacts with KBC's technology infrastructure in any way.

3. Why Cyber Security Matters at KBC

KBC Mobile has been recognised as the world's number one banking app. KATE serves over 5 million customers and resolves the majority of customer enquiries autonomously. Most successful cyber attacks do not succeed because of sophisticated technical exploits — they succeed because of human behaviour: clicking a malicious link, using a weak password, sharing credentials, or failing to report something suspicious. You are a critical part of KBC's cyber defence.

4. Protecting KBC's Systems and Data

4.1 Passwords and Access

Use strong, unique passwords for all KBC systems. Never share your login credentials with anyone. KBC will never ask you for your password. If someone asks for your password, treat it as a security incident and report it immediately. Lock your workstation when you leave it. Use only KBC-approved methods for remote access.

4.2 Handling Data

Customer data is among KBC's most sensitive assets. Only access customer data you need for your legitimate work. Do not forward, copy, or transfer customer data to personal email accounts, personal devices, or unapproved external systems. Use only the data you need — no more.

4.3 Phishing and Social Engineering

Criminals routinely attempt to gain access to KBC systems by tricking employees into clicking malicious links or providing login credentials. These attempts are increasingly sophisticated. If you receive an unexpected email, message, or call asking you to click a link, provide login details, or take urgent action — stop, and verify through official channels before doing anything.

4.4 Personal Devices and Remote Working

Only use KBC-approved devices and software for KBC work. When working remotely, be conscious of your surroundings — do not allow others to view your screen in public places.

5. Using Third-Party Technology Providers

Before any new third-party technology service is used for KBC work, it must be approved through KBC's procurement and technology governance process. Do not sign up to external software tools, cloud services, or AI platforms on KBC's behalf without that approval, no matter how useful they appear.

What this means in practice

If you find a useful AI tool online that you think would help your work, the correct process is to raise it with your manager and submit it for technology review — not to sign up directly using a KBC email address or feed KBC data into it. This applies even to well-known, reputable services.

6. Keeping Our AI and Digital Platforms Secure

KBC Mobile and KATE are mission-critical platforms. A disruption to either service affects millions of customers. These platforms are subject to enhanced security standards. The AI systems that power KATE can be manipulated or exploited in novel ways. If you notice KATE or any other AI tool producing outputs that seem unusual, biased, or inconsistent, report it.

7. What to Do When Something Goes Wrong

The single most important thing you can do when something goes wrong is to report it promptly. A quickly-reported incident can often be contained before it causes serious harm. Report immediately if you:

- Suspect your login credentials have been compromised.
- Accidentally send customer data to the wrong recipient.
- Click a link or open an attachment you suspect may be malicious.
- Notice unusual activity on any system you use.
- Receive a request that feels wrong from a security perspective.

Reporting an incident in good faith will never result in negative consequences for you.

8. Your Responsibilities

- Use strong passwords and never share your credentials.
- Lock your workstation whenever you step away.
- Handle customer data on a need-to-know basis only.
- Be alert to phishing and social engineering attempts.
- Only use KBC-approved devices, software, and third-party services.
- Report security concerns and incidents immediately.

9. Consequences of Non-Compliance

Deliberate or negligent breaches of this policy can result in disciplinary action up to and including dismissal. In cases involving misuse of customer data or deliberate circumvention of security controls, KBC may be required to

report the matter to the Data Protection Authority or law enforcement.

10. Getting Help

- **IT Security Helpdesk** — for urgent security incidents.
- **KBC Compliance Advisory** — for policy questions.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

11. Policy Review

This policy is reviewed annually and following any significant security incident or major change to KBC's digital infrastructure.

POL-003

Credit Risk Capital Adequacy Policy

Corporate & Markets Banking | SME Banking | Group Functions

Policy ID	POL-003
Version	v4.0
Effective Date	01 January 2025
Next Review	01 January 2026
Status	Active
Policy Owner	Group CRO / Group CFO
Applies To	Corporate & Markets Banking SME Banking Group Functions
Classification	INTERNAL — All KBC Group Employees

About this policy: This policy explains what capital adequacy means for KBC, how we calculate our requirements, and why maintaining financial resilience matters for our customers, employees, and the wider financial system.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

KBC holds capital to protect its customers, its creditors, and the financial system against losses. Capital adequacy — maintaining enough of the right kind of capital — is one of the most fundamental obligations of any bank. This policy explains what that means for KBC and what it means for you.

You do not need to be a capital markets specialist to understand this policy. The principles are straightforward: we must hold enough capital to absorb unexpected losses, calculate our requirements honestly and accurately, and never prioritise short-term profits over long-term financial resilience.

2. Who This Policy Applies To

This policy is primarily relevant to employees in credit risk, finance, treasury, capital markets, and risk management. It also applies to relationship managers, underwriters, and product managers whose decisions affect KBC's risk profile and capital requirements.

3. What Capital Adequacy Means and Why It Matters

When KBC makes a loan or takes on a financial exposure, there is a risk that the borrower does not repay. Capital is the financial buffer that absorbs those losses. Without adequate capital, a bank that experiences significant losses can fail — putting depositors, employees, and the broader financial system at risk.

KBC's current Common Equity Tier 1 (CET1) ratio stands at 15.0%, well above minimum requirements. Maintaining that buffer is a strategic priority and a reflection of KBC's commitment to financial stability.

4. How KBC Calculates Its Capital Requirements

KBC calculates its capital requirements based on the risk profile of its assets. Different types of risk attract different capital charges. A mortgage secured against a residential property attracts a lower charge than an unsecured consumer loan, because the collateral reduces the potential loss. KBC uses internally developed models — approved by our supervisors — to calculate many of these risk weights. Accuracy is critical: overestimating risk wastes capital; underestimating risk is dangerous.

5. The Output Floor — A Simple Explanation

Banking regulation includes a safeguard called the output floor. In simple terms, it means that even when a bank uses sophisticated models to calculate capital requirements, the result cannot be lower than 72.5% of what a simpler, standardised calculation would produce.

Think of it this way: the output floor is a sanity check. It prevents banks from using model optimisation to reduce their capital requirements to levels that are not credible. For KBC, the output floor is calculated daily and monitored closely. If our model-based requirements ever approached the floor threshold, that would trigger immediate review and escalation.

6. Operational Risk — Accounting for Things Going Wrong

Not all risk is credit risk. Systems can fail, processes can break down, people can make mistakes, or external events can cause disruption. These are operational risks, and KBC holds capital against them. KBC calculates its operational risk capital based on the scale of its business activities. This is one of the reasons why operational resilience — running our operations well, with robust controls — is not just a compliance matter, but a financial one.

7. Capital Planning and Stress Testing

Every year, KBC submits an Internal Capital Adequacy Assessment Process (ICAAP) to our supervisors. This document sets out how we have assessed our capital adequacy and includes stress tests — scenarios modelling what would happen to our capital position if things went wrong: a severe recession, a sharp fall in property values, or a major operational failure.

The purpose is not to demonstrate that nothing could ever go wrong. It is to demonstrate that even in adverse scenarios, KBC would remain financially resilient. Our capital targets are set with meaningful buffers above regulatory minimums to ensure headroom in difficult times.

8. Your Role in Maintaining Capital Adequacy

If you work in credit origination, financial reporting, or risk management, your work directly affects KBC's capital position. This means:

- Credit decisions must reflect the genuine risk profile of the exposure. Never understate risk to make a deal work.
- Financial data feeding capital calculations must be accurate and complete.
- If you believe capital calculations may be inaccurate or risk is being systematically understated, raise it.

9. Getting Help

- **Group CRO / CFO Office** — for capital adequacy questions.
- **KBC Compliance Advisory** — for policy guidance.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

10. Policy Review

This policy is reviewed annually, or following significant supervisory feedback or a material change in KBC's capital position.

POL-004

Payment Services & Fraud Prevention Policy

Retail Banking | Digital Banking & Payments

Policy ID	POL-004
Version	v2.1
Effective Date	13 January 2018
Next Review	09 April 2026
Status	Under Review
Policy Owner	Head of Payments, KBC Bank NV
Applies To	Retail Banking Digital Banking & Payments
Classification	INTERNAL — All KBC Group Employees

About this policy: This policy explains KBC's obligations as a payment service provider and what every employee must do to protect customers from payment fraud, misdirected payments, and the growing threat of APP fraud.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

Payments are at the heart of KBC's relationship with its customers. Every day, millions of transactions flow through KBC's systems. Customers trust us to process those transactions accurately, securely, and only when properly authorised. This policy explains how we honour that trust and what every employee is expected to do to protect it.

Payment fraud is one of the fastest-growing forms of financial crime. Criminals are sophisticated, persistent, and constantly finding new ways to exploit weaknesses in payment systems. KBC's defences rely on technology, process, and the vigilance and judgment of our people.

2. Who This Policy Applies To

This policy applies to all KBC employees involved in payment services, digital banking, fraud operations, customer service, and product management. It also applies to anyone who advises customers on payments or fraud prevention.

3. KBC's Role in the Payment System

KBC is a Payment Service Provider — we enable customers to send and receive money, manage direct debits, use their cards, and access their accounts via third-party apps. With that role comes significant responsibility: both to process payments correctly and to protect customers from harm. Every payment we process carries an implicit promise: that we have done everything reasonable to ensure it is genuine, accurate, and authorised.

4. Protecting Customers from Fraud

KBC uses real-time fraud detection systems that analyse every transaction and flag those that look unusual. High-risk transactions may be held for additional verification. Our fraud systems are updated regularly to reflect emerging criminal typologies.

Strong Customer Authentication — requiring customers to verify their identity using two independent factors before authorising a payment — is a fundamental control. Never advise customers to bypass or work around authentication steps, no matter how inconvenient they find them. These steps exist to protect the customer.

What is Authorised Push Payment (APP) fraud?

APP fraud occurs when a criminal tricks a customer into willingly transferring money to an account the criminal controls — by impersonating a bank, a government body, or even a family member. Because the customer authorised the payment themselves, APP fraud is harder to detect. KBC has specific obligations to warn customers about this risk and to help them if they fall victim.

5. Verifying Who You Are Paying

One of the most important protections against misdirected payments and APP fraud is verifying that the account holder name matches the destination account. If there is a discrepancy, the customer must be informed before the payment proceeds. Customers should always verify payee details through an independent channel before sending large payments to a new beneficiary — never by calling a number provided in a suspicious message.

6. When Something Goes Wrong — APP Fraud

If a customer reports that they have been deceived into making a payment they did not intend, act quickly. Time is critical: the sooner the matter is escalated to our fraud team, the greater the chance of recovering the funds. KBC's responsibility in APP fraud cases depends in part on whether we provided adequate warnings at the time of the payment. Customer warnings for new payees and large transfers must always be displayed correctly and must never be suppressed.

7. Open Banking — Sharing Financial Data Safely

Open banking allows customers to share their financial data with authorised third-party apps and to authorise those apps to initiate payments on their behalf. KBC only permits access to customer accounts by properly authorised third parties with the customer's explicit consent. If you receive a query about third-party account access, ensure the third party is on the authorised register and that the customer's consent is properly documented.

8. Your Responsibilities

- Never advise customers to bypass authentication steps.
- Ensure customer warnings about new payees and high-risk transactions are presented clearly.
- Act quickly and escalate promptly when a customer reports suspected fraud.
- Only permit third-party account access where proper authorisation and consent are in place.
- Report any suspected weakness in payment controls immediately.

9. Getting Help

- **KBC Fraud Operations** — for urgent fraud incidents.
- **KBC Compliance Advisory** — for policy questions.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

10. Policy Review

This policy is reviewed annually and whenever there are significant developments in payment fraud or payment services regulation. It is currently under review.

POL-005

Sustainable Finance & ESG Disclosure Policy

Asset Management | Group Functions

Policy ID	POL-005
Version	v1.3
Effective Date	01 January 2025
Next Review	01 January 2026
Status	Active
Policy Owner	Group Chief Sustainability Officer
Applies To	Asset Management Group Functions
Classification	INTERNAL — All KBC Group Employees

About this policy: This policy explains KBC's commitment to sustainable finance — integrating ESG into investment decisions, disclosing our environmental footprint honestly, and taking responsibility for the impacts of our portfolio.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

KBC believes that the way we deploy capital has real-world consequences — for the environment, for society, and for the long-term health of the economies we operate in. Sustainable finance is not a compliance checkbox for us. It is a reflection of our genuine belief that businesses that ignore environmental, social, and governance risks are not managing their businesses well.

At year-end 2024, KBC Asset Management managed EUR 51 billion in responsible investment funds. We were the first Belgian asset manager to launch a fund with an AI-driven investment strategy. These achievements reflect a culture that takes environmental and social responsibility seriously. This policy explains what that culture means for every employee.

2. Who This Policy Applies To

This policy applies to all KBC employees, with particular relevance to those in asset management, investment advisory, corporate lending, insurance, and sustainability reporting. It also applies to those involved in KBC's procurement activities.

3. KBC's Commitment to Sustainable Finance

KBC is committed to integrating environmental, social, and governance (ESG) considerations into every material financial decision we make. We do not simply exclude the worst actors from our portfolios and call it sustainable. We actively seek to understand the ESG risk profile of everything we finance and invest in.

KBC published its first sustainability statement under the Corporate Sustainability Reporting Directive, covering greenhouse gas emissions, our climate transition plan, biodiversity commitments, employee standards, and business conduct. It represents a commitment to transparency that we take seriously.

4. What Responsible Investment Means at KBC

KBC Asset Management classifies its funds according to their sustainability characteristics. Some funds make sustainable investment their primary objective. Others promote environmental or social characteristics while maintaining broader investment flexibility. Our exclusion policy prohibits investment in companies involved in controversial weapons, tobacco manufacturing, or companies in serious and persistent breach of international human rights standards. These are not simply legal requirements — they reflect KBC's values.

What is a 'principal adverse impact'?

A principal adverse impact is the negative effect that an investment decision has on sustainability factors — for example, investing in a company that emits large quantities of greenhouse gases or that has poor labour practices. We are required to measure and disclose these impacts across our entire investment portfolio. This means we need to know what we are investing in and what the real-world consequences are.

5. How We Assess and Disclose ESG Risks

KBC uses AI-powered screening systems to assess the ESG risk profile of our lending and investment portfolios. These tools are valuable but are not a substitute for human judgment. If a tool indicates elevated ESG risk in a transaction, the right response is to investigate further, not to override the flag. All new corporate lending applications and investment mandates are screened against KBC's ESG risk framework. Applications that score poorly require additional scrutiny. We do not ignore ESG risks because a client is commercially important.

6. Climate Change and KBC's Role

Climate change is a material financial risk. Physical risks affect the value of collateral we hold and borrowers' ability to repay. Transition risks affect the viability of entire industries we lend to and invest in. KBC has committed to a net-zero pathway and is working toward reducing financed emissions in our lending and investment portfolio. Our climate transition plan sets out concrete targets and timelines. You are part of delivering that plan.

7. Our Supply Chain and Human Rights

KBC's responsibility does not stop at the boundary of our own operations. We have obligations — legal and ethical — to ensure that the businesses we finance, invest in, and procure from are not engaged in human rights abuses or environmental harm. Our supplier due diligence programme assesses the human rights and environmental practices of our significant suppliers annually.

8. Your Role

- When assessing any lending or investment opportunity, consider the ESG profile alongside the financial profile.
- Flag ESG concerns — never ignore a red flag because a deal is commercially attractive.
- Ensure ESG disclosures you prepare are accurate and complete.
- If you manage supplier relationships, keep ESG performance under review.

9. Getting Help

- **Group Sustainability Team** — for ESG assessment guidance.
- **KBC Compliance Advisory** — for disclosure questions.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

10. Policy Review

This policy is reviewed annually in line with KBC's sustainability reporting cycle.

POL-006

Group AML / CFT & Sanctions Policy

Group Functions & All KBC Business Lines

Policy ID	POL-006
Version	v5.1
Effective Date	10 July 2024
Next Review	10 July 2025
Status	Under Review
Policy Owner	Group MLRO
Applies To	Group Functions & All KBC Business Lines
Classification	INTERNAL — All KBC Group Employees

About this policy: This policy explains KBC's zero-tolerance approach to financial crime — what money laundering, terrorist financing, and sanctions evasion are, how to recognise them, and what to do if you suspect them.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

Financial crime — money laundering, terrorist financing, sanctions evasion, bribery, and fraud — causes enormous harm. It funds criminal enterprises and terrorist groups, destabilises financial systems, and corrupts legitimate economies. Banks occupy a critical position in the fight against financial crime because all significant financial flows pass through us.

KBC has zero tolerance for financial crime. We will not knowingly assist anyone in laundering money, evading sanctions, or financing terrorism. We will always cooperate fully with law enforcement and regulatory authorities. This policy ensures every KBC employee understands their personal role in that commitment.

2. Who This Policy Applies To

This policy applies to all KBC Group employees in all countries. Financial crime does not recognise borders, and neither do KBC's obligations. Whether you work in Belgium, Czech Republic, Hungary, Slovakia, or Bulgaria, the standards in this policy apply equally to you.

3. What Money Laundering and Financial Crime Mean

Money laundering is the process of making illegally obtained money appear legitimate. The classic image is cash from drug dealing being deposited into bank accounts. The reality is more complex — modern money laundering involves multiple transactions, multiple jurisdictions, and multiple institutions, designed to obscure the origin of funds.

Terrorist financing is the process of providing money to fund terrorist activity. It does not always involve large sums — small amounts moved through legitimate-looking channels can fund significant harm. Sanctions evasion involves attempting to conduct business with individuals, companies, or countries that are prohibited — by disguising the identity of the sanctioned party or the nature of the transaction.

You do not have to be a financial crime expert

You do not need to identify every money laundering typology or know every sanctions list. What you need to do is remain alert to things that feel wrong, ask questions when you are uncertain, and report your concerns promptly. Your instinct is one of KBC's most valuable financial crime controls.

4. Know Your Customer — Why We Check Who We Are Dealing With

Before KBC opens an account, approves a loan, or establishes any business relationship, we must verify the identity of the customer and understand the nature of their business. This is Customer Due Diligence (CDD), and it is not a bureaucratic formality — it is how we ensure we know who we are dealing with.

Standard CDD involves verifying identity using reliable documents, understanding what the customer does and why they want the product, and assessing whether their expected activity makes sense. Where customers present higher risk — because of their nationality, the nature of their business, or political connections — we apply Enhanced Due Diligence, which requires more detailed information and senior approval.

Politically Exposed Persons — current or former senior politicians, government officials, judges, military officers, or their close family members and associates — receive enhanced scrutiny as a matter of course, regardless of how personally trustworthy they may appear.

5. Knowing Who Really Owns a Company

One of the most common ways financial crime is concealed is through complex corporate structures designed to obscure who ultimately controls or benefits from a company. When we deal with a corporate customer, we must identify and verify all individuals who ultimately own or control more than 25% of the company.

We cannot open an account for a company, or proceed with a significant transaction, until we have verified the complete ownership chain down to natural persons. If beneficial ownership cannot be established — because documents are unavailable, structures are genuinely complex, or the customer is being evasive — this is a serious red flag. We escalate. We do not proceed.

6. Watching for Suspicious Activity

Even after a customer is onboarded, we must continue to monitor their activity. Transaction monitoring systems analyse patterns and flag anomalies. But systems depend on accurate data, well-designed rules, and human review of flags they generate. Be alert to activity that does not match what you know about the customer — large cash deposits for a customer who normally transacts digitally, payments to high-risk jurisdictions with no obvious business purpose, transactions structured to break up larger amounts. These are not conclusive proof of anything, but they are reasons to look closer.

7. Sanctions — Who We Cannot Deal With

Sanctions are restrictions imposed by governments and international bodies that prohibit dealings with specific individuals, companies, and countries. KBC screens all customers, transactions, and counterparties against the relevant sanctions lists in real time. Genuine matches are reviewed by our Trade Compliance team and, where confirmed, the transaction is blocked and the matter is escalated immediately.

The countries currently subject to the most comprehensive sanctions — where KBC will not do business — include Iran, North Korea, Syria, Cuba, and the Crimea region of Ukraine. Russia and Belarus are subject to extensive sectoral sanctions that significantly restrict the types of transactions we can process.

8. Reporting Concerns

If you suspect that a customer is engaged in money laundering, terrorist financing, or sanctions evasion, report your concern to the Group MLRO or your local MLRO promptly. You must not tell the customer they are under suspicion — this is 'tipping off' and is a criminal offence. Do not discuss your suspicions with colleagues who do not need to know. Reporting in good faith protects you.

9. Your Responsibilities

- Complete all mandatory AML and sanctions training on time.
- Apply KYC and CDD standards consistently — do not cut corners because a customer is impatient.

- Report suspicious activity promptly and confidentially to the MLRO.
- Never tip off a customer under investigation.
- Escalate when beneficial ownership cannot be verified.
- Comply with sanctions screening requirements and escalate matches immediately.

10. Consequences

Financial crime compliance failures can result in serious regulatory sanctions against KBC, including fines, public censure, and restrictions on business activities. For individual employees, deliberate or negligent participation in financial crime can result in criminal prosecution, imprisonment, and lifetime bans from the financial services industry.

11. Getting Help

- **Group MLRO / Local MLRO** — for suspicious activity reports.
- **KBC Compliance Advisory** — for AML and sanctions queries.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

12. Policy Review

This policy is reviewed annually and following material changes to the AML or sanctions regulatory framework.

POL-007

AI Governance & Model Risk Policy

Digital Banking & Payments | Group Functions

Policy ID	POL-007
Version	v1.0
Effective Date	01 August 2024
Next Review	01 August 2025
Status	Draft
Policy Owner	Group CRO / Group CIO
Applies To	Digital Banking & Payments Group Functions
Classification	INTERNAL — All KBC Group Employees

About this policy: This policy explains how KBC governs its AI systems responsibly — classifying them by risk, testing them for fairness, and ensuring every AI-assisted decision can be explained to the people it affects.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

Artificial intelligence is transforming the way KBC serves its customers. KATE, our AI digital assistant, resolves the majority of customer enquiries autonomously. AI tools help us assess credit risk, detect fraud, manage investment portfolios, and personalise customer communications. These capabilities are genuinely valuable — but they also carry risks that must be managed carefully.

This policy sets out KBC's framework for governing AI systems responsibly. It applies whether you are building AI tools, using them in your daily work, or overseeing processes influenced by AI outputs.

2. Who This Policy Applies To

This policy applies to all KBC employees who build, deploy, manage, or use AI systems in their work. It also applies to senior managers accountable for business processes supported by AI.

3. Why AI Governance Matters at KBC

AI systems can make mistakes — and the mistakes they make can be systematic. A biased training dataset can cause an AI model to treat certain customer groups unfairly, consistently and at scale, without any individual making a conscious discriminatory decision. A model that worked well yesterday may behave unpredictably when circumstances change.

The scale at which AI operates — making millions of decisions a day — means that a flaw that would be a minor issue in a manual process becomes a significant harm when amplified by AI. This is why we govern our AI systems rigorously, and why every employee who works with AI has a responsibility to use it thoughtfully.

4. How KBC Classifies Its AI Systems

Not all AI systems carry the same risk. KBC classifies its AI systems into four categories:

- **High-risk AI systems** are those that could significantly affect individuals' access to financial services — credit decisions, insurance underwriting, investment advice. These require the most rigorous governance.
- **Limited-risk AI systems** interact with customers but do not make consequential decisions — for example, KATE's general customer service responses. These require transparency disclosures.
- **Standard-risk AI systems** support internal processes without direct customer impact.
- **Minimal-risk AI systems** are low-stakes tools with no significant adverse impact potential.

KATE's credit recommendation and mortgage affordability assessment features are classified as high-risk. KATE's general customer service features are classified as limited-risk. The distinction matters because different standards apply.

5. What We Require of High-Risk AI Systems

KBC applies the following requirements to all high-risk AI systems before deployment and throughout their operational life:

- **Conformity assessment.** Before a high-risk AI system is deployed, we complete a formal assessment confirming it meets our quality, fairness, and transparency standards. We register these systems with the

relevant EU authority.

- **Explainability.** Customers who receive a decision influenced by a high-risk AI system have the right to understand the key factors that drove it, explained in plain language.
- **Human oversight.** High-risk AI systems support human decision-making; they do not replace it. If an AI system recommends an outcome that does not seem right, the human must investigate — not simply defer to the machine.
- **Transparency with customers.** Customers interacting with KATE must know they are talking to an AI. We make this disclosure at the start of every interaction.

6. How We Validate and Monitor AI Models

AI models are validated by an independent team before deployment and re-validated following material updates. Validation assesses whether the model is doing what it is supposed to do, whether its predictions are accurate and stable, and whether it is producing fair outcomes across different customer groups. After deployment, models are monitored continuously for drift — gradual degradation in performance as the world changes in ways the model was not trained to anticipate.

7. Fairness and Avoiding Bias

KBC conducts quarterly bias testing on all high-risk AI models. This testing checks whether the model produces systematically different outcomes for different demographic groups — by gender, age, nationality, or postcode. Any bias identified is investigated, understood, and addressed. Bias in AI models often arises not from malicious intent but from biased historical data. Proactive bias testing matters because we cannot assume an AI system is fair simply because it was built with good intentions.

8. Your Responsibilities

- If you use AI tools, understand what they are telling you and retain your own judgment.
- Never override a human decision simply because an AI tool produced a different output.
- If you notice an AI tool producing unusual, inconsistent, or apparently unfair outputs, report it.
- If you build or manage AI systems, ensure they are registered, validated, and monitored.
- Never deploy an AI system in a customer-facing context without completing the required governance process.

9. Raising Concerns About AI

If you have concerns about the behaviour, fairness, or security of any AI system used at KBC, raise them with your line manager or directly with the Group CIO's office. AI concerns are treated seriously and investigated promptly.

10. Getting Help

- **Group CIO / AI Governance Team** — for AI governance questions.
- **KBC Compliance Advisory** — for policy guidance.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

11. Policy Review

This policy is reviewed annually and following material updates to AI regulation or significant AI incidents.

POL-008

Open Banking & Third-Party Provider Policy

Digital Banking & Payments | Retail Banking

Policy ID	POL-008
Version	v1.4
Effective Date	01 January 2019
Next Review	09 April 2026
Status	Under Review
Policy Owner	Head of Digital, KBC Bank NV
Applies To	Digital Banking & Payments Retail Banking
Classification	INTERNAL — All KBC Group Employees

About this policy: This policy explains KBC's approach to open banking — how we provide secure API access, protect customers in an open banking environment, and ensure customers' data rights are always respected.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

Open banking is one of the most significant changes to retail banking in a generation. It allows customers to share their financial data with third-party apps and to authorise those apps to initiate payments on their behalf. Done well, it gives customers more control over their financial lives. Done poorly, it creates new vectors for fraud and data misuse. KBC is committed to participating in open banking in a way that genuinely serves customers — enabling the benefits while rigorously managing the risks.

2. Who This Applies To

This policy applies to all KBC employees working in digital banking, payment services, product management, customer service, and compliance. It also applies to employees in technology roles responsible for maintaining KBC's open banking infrastructure.

3. What Open Banking Is

Open banking allows customers to instruct KBC to share their account information with an authorised third-party provider, or to allow that third party to initiate a payment from their account. KBC provides this access because customers have the right to control their own financial data. The value of open banking depends entirely on trust — customers trust that their data is only shared with authorised parties, only for the purposes they have consented to, and only for as long as they want it shared.

4. How KBC Provides Secure API Access

KBC provides open banking access through a dedicated, purpose-built technical interface. All third-party providers must be registered and authorised by a financial regulator. Before any data is shared or payment initiated, KBC verifies the third party's credentials and the customer's consent in real time. We maintain a fallback interface to ensure customers are never prevented from exercising their open banking rights simply because of a technical failure.

Remember: third-party access is granted by the customer, not by us

KBC facilitates access; we do not grant it. The customer decides who can see their data and who can initiate payments. Our role is to ensure those decisions are properly authenticated, recorded, and reversible.

5. Protecting Customers

Strong customer authentication is required every time a customer grants access to a new third-party provider or authorises a payment through a third-party app. Customers can revoke access to any third-party provider at any time through KBC Mobile or KBC Touch. If a customer contacts you to revoke access, action it immediately.

6. What Customers Must Know

Customers must understand that when they share their data with a third-party app, that data is subject to that third party's privacy policy — not KBC's. Help customers understand this before they grant access, particularly for

sensitive data like transaction history. If a customer has been a victim of fraud through open banking access, refer them to our fraud team immediately.

7. Your Responsibilities

- Never action a third-party access request that has not been properly authenticated.
- Revoke third-party access immediately when a customer requests it.
- Refer open banking fraud concerns to KBC Fraud Operations immediately.

8. Getting Help

- **KBC Digital Banking Team** — for technical queries.
- **KBC Compliance Advisory** — for policy guidance.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

9. Policy Review

This policy is reviewed annually and following significant developments in open banking regulation or fraud typologies.

POL-009

Capital Planning & ICAAP Policy

Group Functions & All KBC Business Lines

Policy ID	POL-009
Version	v3.0
Effective Date	01 January 2025
Next Review	01 January 2026
Status	Active
Policy Owner	Group CFO / Group CRO
Applies To	Group Functions & All KBC Business Lines
Classification	INTERNAL — All KBC Group Employees

About this policy: This policy explains KBC's annual capital planning process — how we assess our capital adequacy, stress test our resilience, and ensure we can absorb losses even in severe adverse scenarios.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

Capital planning is the process by which KBC ensures it will have sufficient financial resources to meet its obligations and absorb losses — not just today, but through a range of possible future scenarios. This policy explains how KBC approaches that process and what it means for our people.

2. Who This Applies To

This policy is primarily relevant to employees in finance, treasury, risk management, and capital markets. It also applies to senior managers whose business decisions have a material impact on KBC's capital position.

3. Why Capital Planning Matters

Banks operate with leverage — a small amount of capital supporting a much larger balance sheet. This is what makes banking economically useful, but it also means capital must be planned carefully. A bank that depletes its capital buffer has very little room to manage unexpected losses before its financial stability is threatened. KBC's capital targets are set with meaningful buffers above regulatory minimums to ensure headroom in difficult times.

4. The ICAAP — Our Annual Capital Health Check

Every year, KBC submits an Internal Capital Adequacy Assessment Process (ICAAP) to our supervisors. This comprehensive document explains how we have assessed our capital needs across all material risks. It is a genuine engagement with the question of whether KBC is adequately capitalised — not a form-filling exercise. Our supervisors review it and may require us to hold additional capital if they believe our assessment underestimates our risks.

5. Stress Testing — Planning for Adversity

A central component of capital planning is stress testing — modelling what would happen to KBC's capital position in severe adverse scenarios: deep economic recessions, sharp falls in property values, major operational failures. Stress testing is not about predicting what will happen. It is about ensuring we have enough capital to survive what might happen.

Why we run severe scenarios

It might seem pessimistic to model scenarios where things go seriously wrong. But the purpose is reassurance, not alarm. If KBC can demonstrate that even in a severe recession its capital position would remain sound, that gives our customers, investors, and supervisors genuine confidence in our stability.

6. ESG Risks in Capital Planning

Climate change and environmental degradation are not just ethical issues — they are financial risks. Physical climate risks can affect the value of property securing KBC mortgages. Transition risks can affect the viability of businesses we lend to. KBC now integrates climate and ESG risks explicitly into its capital planning process.

7. Your Role

If you work in a role that contributes data or analysis to the capital planning process, accuracy and completeness are paramount. Capital plans built on inaccurate data give false assurance. If you are uncertain about an input, raise it.

8. Getting Help

- **Group CFO / CRO Office** — for capital planning questions.
- **KBC Compliance Advisory** — for policy guidance.

9. Policy Review

This policy is reviewed annually following the ICAAP submission cycle.

POL-010

Human Rights & Responsible Business Conduct Policy

Group Functions & All KBC Business Lines

Policy ID	POL-010
Version	v1.1
Effective Date	26 January 2024
Next Review	26 January 2026
Status	Active
Policy Owner	Group Chief Compliance Officer
Applies To	Group Functions & All KBC Business Lines
Classification	INTERNAL — All KBC Group Employees

About this policy: This policy explains KBC's commitment to respecting human rights — in our own operations, in our supply chain, and in the companies we finance and invest in.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

KBC believes that businesses have a responsibility to respect human rights — in their own operations, in their supply chains, and in the companies they finance and invest in. This is not simply a legal obligation. It is a reflection of our values as an organisation that operates across five European countries and affects the lives of millions of people. This policy sets out what that responsibility means in practice.

2. Who This Applies To

This policy applies to all KBC employees, with particular relevance to those in procurement, corporate lending, asset management, and sustainability reporting.

3. KBC's Human Rights Commitments

KBC is committed to respecting the human rights of its employees, customers, the communities it operates in, and the workers in its supply chain. In practice, this means we identify where our activities might cause or contribute to human rights harm; we take steps to prevent or mitigate that harm; and where harm has occurred, we support access to remedy. We do not simply publish a policy and consider our obligation discharged.

4. Due Diligence in Our Supply Chain

KBC conducts annual due diligence on significant suppliers. This includes self-assessment questionnaires, third-party ESG screening, and site audits for suppliers identified as high-risk. High-risk sectors — IT hardware, construction, catering, textiles — receive additional scrutiny because of the known prevalence of labour rights issues in global supply chains.

Where a supplier is found to have serious human rights issues, we do not simply walk away. We engage with the supplier to understand the issue and require a remediation plan. If the supplier cannot or will not address the problem, we end the relationship.

What does 'tier-2' mean?

Your direct supplier is tier-1. The companies that supply your supplier are tier-2. KBC's current due diligence covers tier-1. We are extending it to tier-2 because experience shows that the worst human rights abuses often occur further down the supply chain, not in the direct supplier.

5. Human Rights in Lending and Investment

When KBC lends to or invests in a company, we become associated with that company's conduct. We assess the human rights risk profile of our significant lending and investment relationships as part of our ESG due diligence process. Companies in sectors or geographies with elevated human rights risk receive additional scrutiny.

6. Our Climate Transition Plan

KBC has committed to a net-zero pathway and published a climate transition plan with concrete targets for reducing our own emissions and financed emissions in our portfolio. This plan is reviewed annually.

7. Your Responsibilities

- In procurement, consider human rights and ESG performance alongside price and quality.
- In lending and investment, flag human rights concerns in due diligence assessments.
- If you become aware of human rights issues in our supply chain or portfolio, escalate them.

8. Getting Help

- **Group Sustainability Team** — for human rights due diligence guidance.
- **KBC Compliance Advisory** — for policy questions.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

9. Policy Review

This policy is reviewed annually.

POL-011

Digital Operational Resilience (DORA) Policy

Group Functions | Digital Banking & Payments

Policy ID	POL-011
Version	v1.0
Effective Date	17 January 2025
Next Review	17 January 2026
Status	Active
Policy Owner	Group CIO
Applies To	Group Functions Digital Banking & Payments
Classification	INTERNAL — All KBC Group Employees

About this policy: This policy explains how KBC maintains the resilience of its digital platforms — managing ICT risk, overseeing technology suppliers, responding to incidents, and testing our ability to withstand disruption.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

KBC is a digital bank. Our customers rely on KBC Mobile, KATE, and our online banking platforms to manage their money every day. The resilience of those platforms is fundamental to the trust our customers place in us. This policy sets out how KBC manages digital operational resilience across our entire technology estate.

2. Who This Applies To

This policy applies to all KBC employees who manage, maintain, use, or make decisions about KBC's technology infrastructure — particularly those in IT, cybersecurity, technology governance, and vendor management.

3. What Digital Operational Resilience Means

Digital operational resilience means the ability of KBC to maintain all our critical functions even when things go wrong — whether that is a cyber attack, a system failure, a natural disaster, or the failure of a technology supplier. KBC Mobile and KATE are our most mission-critical platforms. If either is unavailable, millions of customers are immediately affected. These platforms have recovery time objectives measured in hours, not days.

4. How We Manage ICT Risk

ICT risk management begins with understanding what we have. KBC maintains a complete inventory of its technology assets and maps the dependencies between them. We apply security controls at every layer: network security, access controls, encryption, anomaly detection, and continuous monitoring. These controls are reviewed and tested regularly.

5. Managing Our Technology Suppliers

KBC relies on external technology providers for significant parts of its infrastructure, including cloud services and the large language model that powers KATE. These third parties have access to sensitive data and systems, which means their resilience and security directly affects ours. All critical technology suppliers are subject to rigorous due diligence and contractual obligations covering audit rights, data security standards, exit arrangements, and sub-contracting controls. We test our exit arrangements annually.

Why the AI vendor matters

Since October 2025, KATE runs on GPT-4.1, provided by OpenAI. That makes OpenAI a critical technology supplier for KBC. We apply the same rigorous oversight to AI model vendors as we do to any other critical ICT provider — including the right to audit their systems and clear obligations on data security and service continuity.

6. When Systems Fail — Incident Management

Despite our best efforts, systems will sometimes fail. What matters is how quickly and effectively we respond. KBC has a documented incident response process with clear escalation paths, communication responsibilities, and recovery procedures. For significant incidents, we are required to notify our regulators promptly — often within 24

hours. Your prompt internal reporting makes that possible.

7. Testing Our Resilience

Resilience is not just claimed — it is tested. KBC conducts regular resilience testing including penetration testing, disaster recovery exercises, and scenario-based tabletop exercises. Every three years, KBC's most critical systems are subject to adversarial Threat-Led Penetration Testing, carried out by certified specialists who replicate the tactics of real-world attackers.

8. Your Responsibilities

- Report system anomalies and security concerns immediately.
- Follow incident response procedures precisely.
- Raise concerns about third-party technology suppliers through proper governance channels.
- Participate in resilience testing exercises when required.

9. Getting Help

- **IT Security / Group CIO Office** — for resilience and incident questions.
- **KBC Compliance Advisory** — for policy guidance.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

10. Policy Review

This policy is reviewed annually and following significant incidents or regulatory developments.

POL-012

KATE AI Assistant Governance Policy

Digital Banking & Payments

Policy ID	POL-012
Version	v1.0
Effective Date	01 August 2024
Next Review	01 August 2025
Status	Draft
Policy Owner	Group CIO
Applies To	Digital Banking & Payments
Classification	INTERNAL — All KBC Group Employees

About this policy: This policy explains how KBC governs KATE — ensuring she is transparent with customers, fair in her recommendations, and properly escalates to a human when the situation demands it.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

KATE is KBC's AI-powered digital personal assistant. She helps more than 5 million customers manage their banking, ask questions, initiate payments, and navigate KBC's products — autonomously resolving around 70% of all customer interactions. KATE is one of KBC's most distinctive customer-facing capabilities. With that capability comes significant responsibility. KATE makes consequential suggestions about financial products. She operates at scale. If she behaves unfairly or in ways that are not in customers' interests, the harm is amplified by that scale. This policy governs how we ensure KATE behaves well.

2. Who This Applies To

This policy applies to all KBC employees involved in designing, building, deploying, managing, or overseeing KATE. It also applies to employees in customer-facing roles who receive escalations from KATE or advise customers about her capabilities.

3. What KATE Does and Why It Needs Governance

KATE performs a range of functions, not all of which carry the same risk. When KATE answers a FAQ about branch opening hours, the stakes are low. When KATE makes a recommendation about a mortgage product or an investment fund, the stakes are high. We classify KATE's functions by risk level. High-risk functions are subject to the most rigorous governance: conformity assessments before deployment, bias testing, explainability requirements, and regular performance monitoring.

4. Being Honest With Customers About AI

Customers have the right to know they are interacting with an AI. KATE discloses her AI nature at the start of every interaction. This is not just a legal requirement — it is the right thing to do. When KATE makes a recommendation involving a significant financial decision, the customer must always be told they can speak with a human KBC adviser if they prefer. That option must always be genuinely available.

KATE's disclosure

At the start of every interaction, KATE tells the customer: 'I am KATE, KBC's AI digital assistant. I am not a human. For important financial decisions, you can always speak with a KBC adviser.' This disclosure is mandatory and must never be removed or modified without completing the required governance process.

5. How KATE Makes Decisions — And Its Limits

KATE's recommendations are generated by AI models trained on large datasets. These models are powerful but not infallible. They can reflect biases in historical data. They can behave unexpectedly in novel situations. They can be wrong. KBC's approach to KATE is not 'AI decides'. It is 'AI informs, humans remain accountable'. If you see KATE producing an output that does not seem right, do not let it stand.

6. When KATE Escalates to a Human

KATE is configured to escalate to a human agent for: customer complaints; interactions where the customer shows signs of distress; transactions above defined value thresholds; and any situation where KATE's sentiment analysis indicates the customer may be vulnerable. These escalation rules are not optional — they exist to protect customers.

7. Protecting Vulnerable Customers

Some customers are in difficult circumstances — financial hardship, bereavement, illness, or cognitive impairment. KATE is trained to detect signals of vulnerability and to prioritise human escalation when those signals are present. If you receive an escalation involving a potentially vulnerable customer, handle it with particular care and empathy, and follow KBC's vulnerable customer guidelines.

8. Your Responsibilities

- Never modify KATE's disclosure scripts or escalation rules without completing the governance process.
- When you receive a KATE escalation, treat it as any customer interaction — with care and professionalism.
- Report any KATE behaviour that seems unfair, biased, or inconsistent with our standards.
- Ensure customers always understand their right to speak with a human.

9. Getting Help

- **KATE Product Governance Team / Group CIO Office** — for KATE governance questions.
- **KBC Compliance Advisory** — for policy guidance.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

10. Policy Review

This policy is reviewed annually and following significant developments in AI regulation or KATE model updates.

POL-013

Private Banking KYC & Enhanced Due Diligence Policy

Private Banking & Wealth Management

Policy ID	POL-013
Version	v2.3
Effective Date	01 June 2024
Next Review	10 July 2026
Status	Under Review
Policy Owner	Head of Private Banking, KBC Bank NV
Applies To	Private Banking & Wealth Management
Classification	INTERNAL — All KBC Group Employees

About this policy: This policy explains the heightened due diligence standards in private banking — why we need to understand clients' wealth origins, how we handle politically exposed persons, and why relationship pressure must never override compliance standards.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

Private banking clients typically hold significant wealth and often have complex financial arrangements spanning multiple jurisdictions. This creates both opportunity and risk. The opportunity is to provide genuinely valuable, personalised financial services. The risk is that complex wealth structures can be used to conceal the origins of funds or to evade obligations. This policy sets out the heightened standards KBC applies in private banking to manage that risk responsibly.

2. Who This Applies To

This policy applies to all KBC employees working in private banking and wealth management, including relationship managers, investment advisers, compliance staff, and operational teams supporting private banking accounts.

3. Why Private Banking Requires Heightened Diligence

Private banking is widely recognised as an area of elevated financial crime risk. High-net-worth individuals may have complex corporate structures, significant international exposure, and connections to political figures. Relationship managers sometimes develop close personal relationships with clients, which can create unconscious pressure to be less rigorous than the situation demands. KBC's private banking compliance standards are deliberately more stringent than our retail standards — not because we distrust our clients, but because the stakes are higher and the structures more complex.

4. Understanding Our Clients' Wealth

Before we accept a private banking client, we must understand where their wealth came from. Source of wealth documentation is not optional. Acceptable sources include: employment income supported by tax returns; business ownership documented by audited accounts; inheritance supported by legal documentation; and investment returns supported by portfolio statements from the originating institution. Wealth that cannot be documented is wealth we cannot accept.

What 'source of wealth' means in practice

A client says their wealth comes from their successful technology business. We need to see: the company's audited accounts, evidence of the sale or dividend that generated the wealth, and confirmation that tax obligations have been met. 'They are a successful entrepreneur' is not sufficient due diligence — it is a starting point for asking the right questions.

5. Politically Exposed Persons

A Politically Exposed Person (PEP) is someone who holds or has held a senior public position — a politician, senior government official, military commander, supreme court judge, or head of a state-owned enterprise. Their immediate family members and close associates are also treated as PEPs. PEPs are not prohibited as clients. But they require enhanced due diligence, senior management approval, and more frequent relationship reviews, because people in positions of public power have greater opportunity to abuse that power for personal financial

gain.

6. Ongoing Monitoring

Opening a private banking account with full due diligence is only the beginning. We must monitor these relationships continuously, watching for transactions that do not fit the client's profile, unexplained changes in their financial circumstances, or new connections to high-risk jurisdictions. High-risk clients are reviewed semi-annually; standard clients annually.

7. What to Do When Something Raises Concern

If a private banking client's activity raises concern — transactions that do not make sense, reluctance to provide documentation, connections to sanctioned parties — escalate immediately to the MLRO team. Do not resolve the situation independently. Do not tell the client you are reporting a concern.

8. Your Responsibilities

- Complete enhanced due diligence before opening or expanding private banking relationships.
- Obtain and maintain source of wealth documentation for all significant clients.
- Screen for PEP status at onboarding and review quarterly.
- Report concerns to the MLRO team immediately.
- Never allow relationship pressure to override compliance standards.

9. Getting Help

- **Group MLRO / Local MLRO** — for financial crime queries.
- **KBC Compliance Advisory** — for policy guidance.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

10. Policy Review

This policy is reviewed annually and following significant AML regulatory developments.

POL-014

SFDR Product Disclosure & Taxonomy Alignment Policy

Asset Management (KBC Asset Management NV)

Policy ID	POL-014
Version	v1.2
Effective Date	01 January 2023
Next Review	01 April 2026
Status	Under Review
Policy Owner	Head of Sustainable Investing, KBC Asset Management NV
Applies To	Asset Management (KBC Asset Management NV)
Classification	INTERNAL — All KBC Group Employees

About this policy: This policy explains how KBC Asset Management describes its sustainable investment funds honestly — what the fund categories mean, what we disclose about our environmental footprint, and why accuracy in sustainability disclosure matters.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

KBC Asset Management manages EUR 300 billion in assets on behalf of retail, private banking, and institutional clients. EUR 51 billion of those assets are in responsible investment funds. This policy governs how we describe those funds to investors and how we ensure those descriptions are accurate.

2. Who This Applies To

This policy applies to all KBC Asset Management employees involved in fund management, product development, investor communications, and compliance. It also applies to private banking employees who distribute sustainable investment products to clients.

3. What Sustainable Investment Categories Mean

Investment funds that promote sustainability are classified under EU law into categories based on their ambition. Article 9 funds have sustainable investment as their core objective — everything in the portfolio is there because it contributes to an environmental or social goal. Article 8 funds promote environmental or social characteristics but may hold some investments that do not meet that standard. These are not just labels — they carry specific obligations about what we must disclose.

What greenwashing looks like

Greenwashing occurs when a fund's sustainability claims do not match its actual investment approach. Examples include calling a fund 'sustainable' while holding significant fossil fuel investments, or claiming Article 9 status for a fund that does not have sustainable investment as its primary objective. Any of these would be a serious breach of this policy.

4. What We Tell Investors and Why It Matters

For every Article 8 and Article 9 fund, we produce pre-contractual disclosure documents and periodic reports setting out: the environmental or social characteristics the fund promotes; how those are measured; what proportion of the fund meets those criteria; and the principal adverse impacts of the fund's investments. These documents must be accurate, complete, and updated when the fund's approach changes. They are legal disclosures, not marketing documents.

KBC Asset Management is required to update its disclosure templates following a revision to EU-level rules. All 47 funds that currently have Article 8 or Article 9 status require updated disclosures. This work is underway and must be completed before the deadline.

5. Principal Adverse Impacts — Our Footprint as Investors

As investors of EUR 300 billion, KBC Asset Management has a significant real-world footprint. We are required to identify and disclose the principal adverse impacts of our investments across 18 mandatory indicators, including greenhouse gas emissions, biodiversity impact, water intensity, and social and labour standards in investee companies. These disclosures are published annually. Where data is unavailable, we use reasonable estimates and disclose the gap — we do not exclude companies because getting the data is inconvenient.

6. How We Calculate Taxonomy Alignment

The EU Taxonomy is a classification system identifying which economic activities are genuinely environmentally sustainable. For Article 8 and Article 9 funds, we calculate and disclose the percentage of the portfolio aligned with the Taxonomy. This calculation is complex and data-intensive. Our methodology is reviewed regularly and updated when the rules change.

7. Updating Our Disclosures

The rules governing sustainable investment disclosures have been updated. KBC Asset Management's disclosure documents need to be updated accordingly — a significant piece of work affecting all 47 in-scope funds with a defined deadline. All employees involved in this work should treat it as a priority. If you encounter any obstacle to completing the work on time, escalate immediately.

8. Your Responsibilities

- Ensure fund descriptions and sustainability claims are accurate and reflect the actual investment approach.
- Flag any material changes in a fund's composition or approach that might require re-classification.
- Complete the disclosure template update work on time.
- Never overstate a fund's sustainability credentials in marketing or client communications.

9. Getting Help

- **Head of Sustainable Investing** — for fund classification and disclosure questions.
- **KBC Compliance Advisory** — for policy guidance.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

10. Policy Review

This policy is reviewed annually and whenever EU sustainable finance rules are materially updated.

POL-015

Supply Chain Due Diligence Policy

Group Functions & All KBC Business Lines

Policy ID	POL-015
Version	v1.0
Effective Date	01 January 2024
Next Review	26 July 2026
Status	Draft
Policy Owner	Group Chief Compliance Officer
Applies To	Group Functions & All KBC Business Lines
Classification	INTERNAL — All KBC Group Employees

About this policy: This policy explains how KBC takes responsibility for the human rights and environmental practices of its supply chain — assessing suppliers, engaging with problems, and ensuring we do not knowingly benefit from labour or environmental abuses.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

Every organisation that buys goods and services has a supply chain — and every supply chain has the potential to involve labour rights abuses, environmental harm, or other violations of international standards. KBC is no exception. Our IT hardware, facilities services, catering and cleaning contractors, and consultants all create a chain of commercial activity that extends well beyond KBC's own offices. This policy sets out how KBC takes responsibility for that chain.

2. Who This Applies To

This policy applies to all KBC employees involved in procurement, supplier management, and sustainability reporting. It also applies to senior managers who approve significant procurement decisions.

3. What We Mean by Supply Chain Due Diligence

Supply chain due diligence means actively investigating the human rights and environmental practices of the businesses we buy from — and taking action when we find problems. It is not a box-ticking exercise. It requires genuine engagement with our suppliers, honest assessment of the risks in our supply chain, and a willingness to take difficult decisions when suppliers fall short of our standards.

The risks we are looking for include: forced labour and modern slavery; child labour; unsafe working conditions; discrimination and harassment; environmental pollution; and deforestation. These issues exist in global supply chains and are not confined to distant developing countries.

Why this matters for a bank

It might not be obvious why a bank needs a supply chain due diligence policy. But KBC buys enormous quantities of IT hardware, data centre equipment, and professional services. The companies that supply those goods employ hundreds of thousands of people globally. Our purchasing decisions have real-world consequences for those workers.

4. How We Assess Our Suppliers

KBC segments its suppliers by spend and risk. Suppliers above EUR 1 million in annual spend in high-risk sectors receive the most intensive assessment: a detailed self-assessment questionnaire, third-party ESG screening, and — for those with the most significant concerns — on-site audits. New suppliers in high-risk categories are assessed before we begin working with them. Existing suppliers are assessed annually.

5. What Happens When We Find a Problem

When due diligence identifies a human rights or environmental concern, KBC's first response is engagement — working with the supplier to understand the issue and agree a remediation plan with clear milestones. However, engagement has limits. If a supplier refuses to engage seriously, or if the concern is so serious that continued business would imply KBC's endorsement of the abuse, we end the relationship.

6. Extending Our Reach — Beyond Direct Suppliers

Experience shows that some of the most serious human rights abuses occur not in our direct suppliers but in the companies that supply them — tier-2 and beyond. KBC is extending its due diligence to cover tier-2 relationships for our most significant strategic suppliers. This is a substantial undertaking, and we are building this capability progressively, prioritising the highest-risk sectors first.

7. Why Documentation Matters

International rules on supply chain due diligence create civil liability for companies that fail to prevent adverse impacts in their supply chains. The best protection against that risk is a well-documented, genuine due diligence process. Records must be retained for at least seven years. If you are involved in supplier due diligence, your documentation standards matter.

8. Your Responsibilities

- In procurement decisions, treat ESG performance as a material factor alongside cost and quality.
- Complete supplier assessments accurately and document your findings.
- Escalate supplier concerns to the sustainability team promptly.
- Retain all due diligence documentation for at least seven years.

9. Getting Help

- **Group Sustainability Team** — for supply chain due diligence guidance.
- **Group CCO Office** — for policy questions.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

10. Policy Review

This policy is reviewed annually and following significant developments in supply chain due diligence regulation.